

## **ACCC vs Peters Ice Cream (2022) Case Study Essay**

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### **Introduction**

The report is about the case Australian Competition and Consumer Commission v Australasian Food Group Pty Ltd that was decided by the Federal Court of Australia in 2022. This case is a monopolization case. The Australian Competition and Consumer Commission (ACCC) instituted the Federal Court of Australia against Australasian Food Group Pty Ltd which is trading as Peters Ice Cream (Peters), the ACCC alleged Peters Ice Cream engaged in exclusive dealing in commerce. Peters Ice Cream and PFD Food Services had an agreement which is hindered competition for the supply of single package ice creams in petrol stations and convenience shops in Australia. The report is for ACCC team members to review the competition policy case. The report contains a summary of the case, the case's relevant market, the major players, the plaintiff's side arguments in economic theory, the defendant's side economic theory arguments, the outcome and opinions of the case.

### **Summary**

Peters was one of the largest providers of single serve ice cream and frozen confectionery products in Australia. It is one of the two main providers of these kinds of single package products. The other main large supplier in Australia is Streets ice cream which is owned by Unilever. According to the Australian Competition and Consumer Commission (2020), PFD Food Services (PFD) was the only distributor that can distribute single serve ice cream and frozen candy products to Australian convenience shops and petrol stations in the market. Peters and PFD Food Services had a distribution agreement between November 2014 and December 2019. The distribution agreement had an exclusive condition. The condition was, without Peters

written agreement, PFD was not allowed to provide any competing single package frozen desserts in convenience shops and petrol stations in some areas around Australia. Peters only distributed their ice cream products to main areas of Australia directly included Sydney, Melbourne and Brisbane. For other Australia areas, PFD was the main supplier to distribute Peters ice cream product. But PFD was never allowed to sell and distribute single serve ice cream products from other competitors during the period of the distribution agreement. PFD has made requests to provide ice creams from other competitors to Australian convenience shops and petrol stations. Peters rejected all these requests from PFD. Australian Competition and Consumer Commission v Australasian Food Group Pty Ltd (2022) stated Peters engaged in exclusive dealing in commerce, Peters exclusive dealing in contravention of Section 47(1) of the Competition and Consumer Act 2010 (Cth) (CCA). Peters and PFD's agreements condition reduced competition in the provider market of single package frozen desserts in Australia. The ACCC (2022) reported Peters admitted it had contravened the Competition and Consumer Act. Peters admitted it had breached the section 47(1) from CCA because it engaged in anti- competitive exclusive dealing. Peters had to pay a \$12 million penalty for its conduct which is reduced competition in the single serve ice cream distribution market, and ACCC's legal costs.

### **Relevant market**

The case is about the market of single package ice cream and frozen candy products suppliers which is supplied to petrol and convenience stores in Australia. The relevant market was the providers of single package frozen sweet products to Australian petrol stations and convenience stores. The single serve ice cream are small package ice cream products for consumers eat immediately. These products are limited to impulse consumption. They are different from the family size ice cream tubs and multiple packages ice cream products which are sold in supermarkets. The

single serve ice cream products are individually package which are designed for consumers' impulse purchases in retailers such as petrol and convenience stores. The family size ice cream products are sold in traditional grocery areas in supermarkets. Because of the differences of packages, convenience and purchase places, consumers who buy single package ice creams will not buy family size ice cream products to replace the single serve ice creams. The relevant market was the providers of single package frozen desserts to Australian convenience shops and petrol stations. Streets and Peters were the two main providers in the market. Peters is one of the largest providers of single package frozen desserts in Australia. It was one of the two main providers of these kinds of single package products. The other main large supplier in Australia is Streets ice cream which is owned by Unilever. Streets and Peters were covered over 95% of transactions of single package ice cream products in Australian convenience shops and petrol stations. Peters only distributed their ice cream products to main areas of Australia directly included Sydney, Melbourne and Brisbane. PFD was the only distributor to distribute Peters ice cream products in other Australia areas. According to the Australian Competition and Consumer Commission (2020), PFD Food Services (PFD) was the only supplier in commerce that can provide single package frozen sweet goods to Australian convenience shops and petrol stations in the market. The ACCC (2022) stated the PFD was the largest distributor of single package frozen sweet goods in Australia. PFD had ability to distribute single serve ice creams to more than 90% areas of Australia. Other distributors didn't have routes to sell or distribute these ice cream and candy products to convenience stores and petrol stations in Australia. New firms will not success in commerce to build new sales and distribution networks to sell and distribute single package ice cream products in Australia. Peters was a main role of the market. PFD was the monopoly distributor of the market. Peters and PFD's distribution agreements reduced competition and prevented new entry to the market.

## **Plaintiff's side**

Section 47(1) of the CCA disallows a corporation engaging in exclusive dealing, if the exclusive dealing that led to substantially reducing competition in a market. The exclusive dealing covers supply agreements, suppliers made a condition which is prevented buyers to sell or buy goods and provide services from competitors. Peters is one of the main providers of single package frozen desserts in Australia. PFD was the main distributor of single package frozen sweet products in Australia. PFD and Peters were dominant firms in their relevant markets. They had big market power to prevent competitors enter the market. Peters and PFD Food Services had a distribution agreement during November 2014 to December 2019. The distribution agreement had an exclusive condition. Without Peters written agreement, PFD was not allowed to provide any single package ice cream products from competitors in convenience stores or petrol stations in some areas of Australia. Peters rejected all PFD requests to supply ice cream products from other competitors to Australia convenience stores and petrol stations. ACCC (2022) stated Peters conduct purpose was to reduced competition in the market by preventing competitors to enter the market. Peters exclusive condition caused anti-competitive effects of significantly reducing competition in a market. Peters' agreement with PFD restricted PFD distributes single serve ice cream products from competitors. Peters and PFD's agreement excluded competitors from a large market and increased barriers of entry and expansion of the market. Peters conduct also affected consumers did not have various choices and low-price benefits when they were buying single package ice creams in convenience stores or petrol stations. Based on the economic theory of monopolization, Peters implemented anticompetitive operations to keep and extend market power. Peters made a vertical barrier by using the exclusive condition which increased competitors' distribution costs and decreased their compete ability in price and promotion. Peters conduct caused higher price of these kinds of ice cream products and less choices of the ice creams in petrol and convenience stores. The exclusive dealing continued five years from November 2014 to December 2019,

magnified the impact of reducing competition in the market. The term was long enough to prevent other firms to enter the market.

### **Defendant's side**

Peters admitted it contravened the section 47(1) of CCA, it engaged in anti-competitive exclusive dealing that caused significantly reducing competition in the single package ice cream and frozen candy products supply market. The ACCC (2022) reported Peters admitted if PFD was not restricted by the exclusive condition, there will be some potential competitors enter the market or expand in the market. The court's findings of the exclusive dealing operation did not leave much room for Peters arguments. Peters' argument was aimed to reduce the strength of penalty, did not make any strong defense argument to counter the ACCC. Based on economic theory, Peters can make argument about efficiencies defense. The vertical restriction can improve cooperation and investment. If the vertical restriction can help reduce costs, encourage downstream promotion and solve the double marginalization effect, the restriction is helpful for competition. The exclusive dealing can promote the competitive efficiencies, such as improving logistics cooperation, keeping the quality and more investment on infrastructures. Peters stated the exclusive distribution condition with PFD can help protect the investments in fridge facilities, distribution and cold-chain maintenance. The exclusive condition was aimed to ensure PDF will not use Peters investment to deal with other competitors. The vertical integration and exclusive dealing can reduce the transaction costs and reduce the risks of quality reduction in the transit process. Peters and Streets were covered more than 95% of the market share. Peters can argue Streets which is owned by Unilever still had a dominant power in the market. Peters market power was not big enough to restrict Streets' distribution in most areas of the market. The exclusive dealing with PFD was a normal commerce strategy, not an abuse of market power. Peters defense could be around the exclusive dealing was to ensure the products quality and efficient

distribution and the market power was not enough to restrict the markets.

## **Outcome**

Peters was engaged in exclusive dealing between November 2014 and December 2019 is contravened the section 47(1) of CCA and the conduct significantly reducing competition in relevant market. Peters must pay a \$12 million penalty for its illegal conduct by the Federal Court order. Peters was ordered by the court to pay the ACCC's legal costs that amount was \$250 thousand. The court also ordered Peters to make a compliance system for three years. Peters covered a large part of the market share and had large market power. Peters conduct was serious because of it is a dominant firm in the market which could be brought more harmful effect in the market. A firm in dominant position breached the exclusive dealing rules caused serious effects of significantly reducing competition in the relevant market. The penalty was set to a high level is aimed to ensure other similar dominant firms in other markets would not be engaged in exclusive dealing. ACCC (2022) said the case was a reminder for all corporations of the serious and costly results of engaged in any anti-competitive conducts. ACCC's enforcement in 2022 and 2023 key points would be aimed at the firms who had big market power and affected competition in the market.

## **Opinion**

The Federal Court's decision of the ACCC v Peters was reasonable in both legal and economic areas. The ACCC's action is necessary and timely in the case. PFD's distribution networks were correctly identified as the main and necessary distribution facilities in the market. Peters reduced competition and kept a dominant role in the market by controlling the distribution route. Peters conduct was harmful to consumer welfare and competition in the market. The vertical foreclosure in

distribution is a harmful form of market control. The ACCC prevented the market control continue in the market, kept the competition in the market and protected consumers interests. The penalty of \$12 million is a large amount, but Peters had big market power and dominant role in the market, its conduct has continued for five years and influenced consumers' rights to choose ice creams. The large amount penalty was reasonable in the case. The large amount reminded some firms about the serious and costly results of reduce competition in markets. The decision of ACCC v Peters is a good application of economic theories. Researchers and policy makers can analysis the case's long-term effects, such as suppliers and retailers, changes of distribution and new firms' entry situations in the market. The revision of the case can help review whether the markets keep efficient and competition in the market. This report can help ACCC team members review the case and understand the key points of the case.

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